

Table 52.2 General Statistics

Description	Bull Market, Up Breakout	Bear Market, Up Breakout	Bull Market, Down Breakout
Number found	945	171	566
Reversal (R), continuation (C) occurrence	100% C	100% C	100% R
Average rise or decline	51%	24%	−13%
Standard & Poor's 500 change	12%	−1%	−2%
Days to ultimate high or low	227	79	43
How many change trend?	59%	42%	21%

How many change trend? This item is a measure of how many rectangle tops see price rise more than 20% after a breakout. For bullish patterns, I consider values over 50% to be top notch. I don't have a benchmark for downward breakouts, though. However, the statistics say that the two right columns fall short of the averages for other chart pattern types.

Table 52.3 shows failure rates for rectangle tops as a frequency distribution of gains or losses. For example, 15% of rectangles with upward breakouts in bull markets fail to see price climb more than 5%. A third (35%) will fail to see price rise more than 15%. Half will top out after rising less than 30%.

The other two columns show even worse performance.

How useful is the list? If you use the measure rule to get the potential gain, then this table becomes quite useful. Suppose you have a stock you wish to buy and the measure rule says the target is 20% away from the current price. How likely will it be to make money trading a rectangle top with an upward breakout? Answer: 41% of rectangles in bull markets will fail and 58% of them in bear markets will also fail on average.

Table 52.4 shows breakout-related statistics.